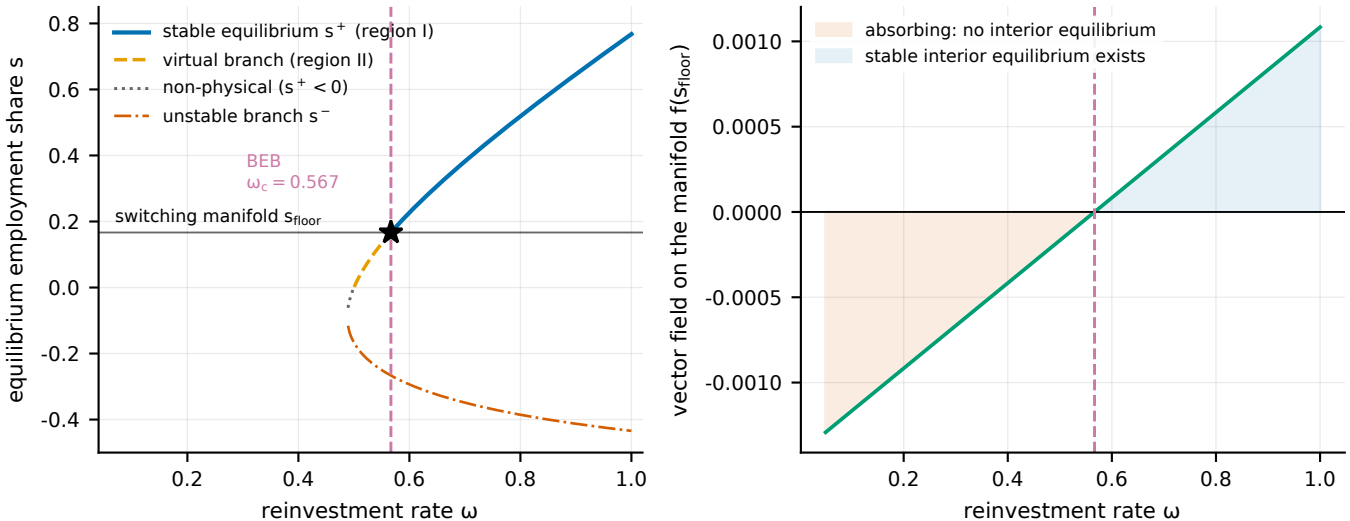
(a) Fast-subsystem BEB, static slice (skill = 1)
stable equilibrium s^+ (region I)
virtual branch (region II)
non-physical ($s^+ < 0$)
unstable branch s^-
BEB
$\omega_c = 0.567$
switching manifold s_{floor}
equilibrium employment share s
reinvestment rate ω
(b) Transversality at ω_c, static slice (skill = 1)
absorbing: no interior equilibrium
stable interior equilibrium exists
vector field on the manifold $f(s_{floor})$
reinvestment rate ω